

Agenda Item 2-A

Discussion of Other Significant Changes to Requirements and Application Material

This paper is intended to provide background information on the significant changes made by the ISA 600¹ Task Force (the Task Force) to the draft of proposed ISA 600 (Revised), as reflected in the draft in **Agenda Item 2-C**, and the rationale for those changes.

Reference	Other Significant Changes and the Rationale for Those Changes
Scope	
Paragraph 1	<i>Application Material</i> - Paragraph A1B: This paragraph was added to provide a reference to proposed ISQM 2,² which will include considerations for an engagement quality (EQ) review for a group audit engagement. In discussions with the ISQM 2 Task Force, it was agreed that proposed ISQM 2 is the most appropriate location for such guidance.
Paragraph 6	- Revised the last sentence to focus on nature, timing and extent of the group engagement team's direction and supervision of component auditors, and the review of their work, consistent with other revisions throughout proposed ISA 600 (Revised) and proposed ISA 220 (Revised).³
Definitions	
Paragraph 9	- In response to comments received during the September 2019 IAASB meeting, and offline comments from Board members, the Task Force has revised the definitions as follows: • In connection with the proposed revisions to the materiality section of the standard, the Task Force concluded that it would be appropriate to add a definition of aggregation risk (see paragraph 9aA), and to change the definition of component materiality to component performance materiality. The Task Force

¹ International Standard on Auditing (ISA) 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*

² Proposed International Standard on Quality Management (ISQM) 2, *Engagement Quality Reviews*

³ Proposed ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

Reference	Other Significant Changes and the Rationale for Those Changes
	also added a definition of group performance materiality (see paragraph 9(kA)) as that term is now referred to in several places in the materiality section. See further discussion in section I-B of Agenda Item 2. • In offline comments on the draft standard discussed in September 2019, a Board member noted a degree of circularity in the definitions of component, group, and group financial statements. The Task Force agreed and has revised these definitions accordingly. In doing so, the Task Force retained the key concepts that a group is an entity with more than one component, and that group financial statements include the financial information of more than one component through a consolidation process. • Removed the reference to joint auditors in the definition of group engagement partner in paragraph 9(h). The Task Force concluded that any discussion about joint audits or joint auditors is better placed in proposed ISA 220 (Revised) and will coordinate on this point with the ISA 220 Task Force.
Paragraph 10A	- Added a reference in paragraph 10A(a) that the reference to ‘the consolidation process’ includes the aggregation of the financial information of branches or divisions. The Task Force acknowledged comments from respondents to the Invitation to Comment (ITC), <i>Enhancing Audit Quality in the Public Interest: A Focus on Professional Skepticism, Quality Control and Group Audits</i>,⁴ and Board members asking for the revised standard to be clearer about whether an entity with branches or divisions would be considered a group, and therefore whether the audit of such an entity would be within the scope of ISA 600 (Revised). <i>Application Material</i> - Paragraph A5B: This paragraph was added to further describe that the aggregation of branches or divisions in the financial statements through a consolidation process is the key factor in determining whether the financial statements are group financial statements, as defined in the standard, and therefore whether ISA 600 (Revised) would apply. The paragraph indicates that, in some circumstances, the accounting for the branches or divisions is performed centrally within a single general ledger. In these cases, unless there are other components whose financial information is subject to a consolidation process, the financial statements do not represent group financial statements and therefore the standard would not apply.

⁴ <https://www.ifac.org/system/files/publications/files/IAASB-Invitation-to-Comment-Enhancing-Audit-Quality.pdf>

Requirements	
Leadership Responsibilities for Managing and Achieving Quality on a Group Audit	
Paragraph 11A	<i>Application Material</i> - Paragraph A9B: This paragraph was added to recognize that policies or procedures established by the firm or a network firm may assist the group engagement partner in being sufficiently and appropriately involved throughout the group audit engagement.
Acceptance and Continuance	
Paragraphs 11B–11C	- The changes to the requirements and application material are discussed in Agenda Item 2, Section I-A.
Paragraph 11D	- The changes to the application material are discussed in Agenda Item 2, Section I-A.
Understanding the Entity and Its Environment, the Applicable Reporting Framework and the Entity's System of Internal Control	
Paragraph 17	<i>Requirement</i> - The changes to the requirement are discussed in Agenda Item 2, Section I-C. <i>Application Material</i> - Paragraphs A23B and 23C: The changes to these paragraphs are discussed in Agenda Item 2, Section I-C. - Paragraphs A26A and A26B: In the September 2019 meeting, the Board agreed with the Task Force's proposals to delete the definition, and references to, group-wide controls and to discuss the testing of controls in a group audit more broadly in connection with the responses to the assessed risks of material misstatement of the group financial statements. As a result, the Task Force added paragraphs A26A and A26B. Paragraph A26A includes guidance on how the group engagement team may determine the commonality of a control across the group. Paragraph A26B explains that testing whether the control has been implemented and is operating effectively may corroborate or contradict evidence that supports the conclusion that the control has been implemented and is operating effectively commonly across a group. The Task Force will consider whether additional application material is needed on the commonality of controls, for example, by explaining why obtaining an understanding

	of ‘common controls’ is relevant to the risk assessment. - Paragraphs A24–A26: The application material on the instructions issued by group management was changed to focus more on how the instructions may affect the group engagement team’s identification and assessment of the risks of material misstatement and less on the specifics of what the instructions normally cover. As a result, paragraph A25 was deleted and paragraph A24 enhanced. - Paragraphs A26C and A26D: The Task Force included new guidance with respect to shared service centers based on input received from the Board and from stakeholders (including the IAASB Consultative Advisory Group). The Task Force also liaised with the ISA 220 Task Force on a proper “handover” of the guidance on shared service centers as a single entity audit may also use a shared service center. The application material that was added explains that: • An entity may have multiple shared service centers and these shared service centers can share responsibilities across components; and • Obtaining an understanding of the shared service centers used is important for the identification and assessment of the risks of material misstatement.
Materiality	
Paragraph 17B	- The changes to the requirement and application material are discussed in Agenda Item 2 , Section I-B.
Paragraph 22	- Deleted this paragraph and the related application material in paragraph A46 of extant ISA 600, as the revised standard now requires the group engagement team to determine component performance materiality and communicate it to component auditors.
Paragraph 23	- Moved to the section on Responding to the Assessed Risks of Material Misstatement – see paragraph 24A.
Assessing the Risks of Material Misstatement	
Paragraph 20A	- The changes to the requirement and application material are discussed in Agenda Item 2 , Section I-C.

Responding to the Assessed Risks of Material Misstatement	
Paragraph 24	- The changes to the requirement and application material are discussed in Agenda Item 2 , Section I-C.
Paragraph 24A	<i>Requirement</i> - The Task Force recognized that in some instances an audit has been performed on a component for statutory, regulatory or other reasons and that the group engagement team may plan to use work to provide audit evidence for the group audit. If this is case, this paragraph includes requirements for the group engagement team including evaluating whether: • The audit procedures performed are an appropriate response to the assessed risks of material misstatement of the group financial statements; • Overall and performance materiality used for that audit are appropriate; and • Other relevant requirements in this ISA with respect to the use of the work of a component auditor have been met. This requirement does not address the situation where the group audit is completed before, or at the same time, as a statutory audit. When that is the case, the group engagement team can determine the involvement that is needed from the component auditor and apply paragraph 24.
<i>Consolidation</i>	
Paragraphs 33–37A	<i>Requirements</i> - Paragraph 33A: To clarify the group engagement team’s responsibility, a separate requirement was added for the group engagement team to determine the nature and extent of direction, supervision and review when component auditors perform further audit procedures on sub-consolidation processes. <i>Application Material</i> - The Task Force made several changes to the application material in response to comments from Board members and to further clarify what is expected when there are sub-consolidations. The Task Force will consider whether additional application material is needed that explains what is meant by the term sub-consolidation.

Quality Management When Component Auditors Are Involved	
Paragraph 37B	<i>Requirement</i> - The Task Force decided to change paragraph 37B(c) based on comments from the Board and during outreach. It was noted that the wording presented to the Board in the September 2019 meeting was too strong in not recognizing that, in some case, information about the results of the monitoring and remediation process with respect to the component auditors' firm may not be available. In addition, the requirement in the previous draft linked to paragraph 37C, which would have required the group engagement team to perform the work on the financial information of those components for which such information was not available. Feedback received by the Task Force indicated that was not practicable. Further, it was noted that the previous wording could imply that firms needed to share monitoring and remediation results with non-network firms. The Task Force therefore revised the wording in paragraph 37B(c) and added application material (paragraph A57N) as described below. <i>Application Material</i> - Paragraph A57E: Based on comments received, the Task Force enhanced the paragraph to clarify the Task Force's expectations when an auditor's expert is involved. - Paragraph A57F: This paragraph was moved to the application material related to 37D. - Paragraph A57N: This paragraph explains that the group engagement team may be able to obtain information through other sources, when the information about the results of the monitoring and remediation process with respect to the component auditor's firm cannot be obtained directly.
<i>Engagement Performance</i>	
Paragraph 37D	<i>Requirement</i> - To replace paragraph 30 in extant ISA 600 (see below), the Task Force added a requirement that focuses on the group engagement partner's responsibility for the nature, timing and extent of direction and supervision of the component auditors and the review of their work. The Task Force was of the view that, in doing so, the following areas should be taken into account: • Areas where the assessed risk of material misstatement of the group financial statements is higher or where a significant risk has been identified, in relation to the component's financial information; and

	- Areas in the group financial statements that involve significant judgment. <i>Application Material</i> - Paragraph A57R and A57S: Moved, used to be paragraph A57F. - Paragraph A57T: This paragraph was added based on possible actions that were suggested in the ITC and matters that were previously included in paragraph A55.
Paragraphs 30–31	<i>Requirements</i> - These requirements were deleted because they are inconsistent with the risk-based approach. <i>Application Material</i> - Paragraph A54: This paragraph was deleted as it is covered by paragraphs A57R and A57F. - Paragraph A55: Some of the bullets in this paragraph are included in A57T. The remaining matters were deleted because they were deemed redundant.
<i>Two-Way Communication Between the Group Engagement Team and the Component Auditor</i>	
Paragraph 40	<i>Requirement</i> - The Task Force made several changes to paragraph 40 as follows: - The introduction was simplified and made consistent with the new risk-based approach to auditing group financial statements; - Deleted bullets (b), (c), and (e) because they are covered by paragraphs 17B, 37B and 41B, respectively; - Deleted bullet (d) because it is inconsistent with the risk-based approach. Under the risk-based approach, the group engagement team is required the communicate the risks of material misstatement of the group financial statements that are relevant to the work of the component auditor (paragraph 20A); and - Added, in bullet (a), a reference to paragraphs that include matters that the auditor should communicate. <i>Application Material</i> - As suggested in the ITC, the Task Force enhanced the application material by explaining in more detail what

	the requirement is intended to achieve. The guidance in ISA 260 (Revised)⁵ was used as a basis to provide further explanation about timely communications in the context of a group audit. For example: • Paragraph A57V, which describes matters that may contribute to effective two-way communication, is based on paragraph A38 of ISA 260 (Revised); • Paragraph A58A, which describes factors that may influence the form of communication, is based on paragraphs A46 and A47 of ISA 260 (Revised); and • Paragraph A60A, which describes the appropriate timing for communications, is based on paragraph A49 of ISA 260 (Revised). - Paragraph A60C: This paragraph was added in response to the issue identified in, and comments from respondents to, the ITC with respect to communications about non-compliance or suspected non-compliance with laws and regulations. The paragraph notes that relevant ethical requirements may include an obligation for the group engagement partner to communicate matters that the group engagement team believes may be relevant to the financial information of a component or the audit procedures performed by a component auditor. Consistent with IAASB discussions in finalizing ISA 250 (Revised),⁶ the paragraph also notes that this obligation of the group engagement partner may extend to components that are not included in the scope of the group audit (e.g., components for which an audit is required by statute, regulation or for another reason, but for which no additional procedures are performed for purposes of the group audit).
Paragraph 41	<i>Requirement</i> - The following changes were made to the bullets in paragraph 41: • Bullet (a) was deleted because it is covered by paragraph 37A; and • Bullet (b) is no longer needed because it is inconsistent with the risk-based approach. <i>Application Material</i> - Paragraph 60D: As proposed ISA 600 (Revised) is written from the perspective of the group auditor, paragraph 41 requires the group engagement team to request the component auditor to communicate certain matters. However, a component may not provide the group engagement team with the matters requested. For this

⁵ ISA 260 (Revised), *Communication with Those Charged with Governance*

⁶ ISA 250 (Revised), *Consideration of Laws and Regulations in an Audit of Financial Statements*

	scenario, the Task Force included application material in paragraph A60D. The application material notes that the group engagement team may consider whether the information can be obtained through other sources and if not, the group engagement team may need to consider the implications for the group audit.
<i>Evaluating the Component Auditor's Communication</i>	
Paragraph 41A	<i>Requirement</i> - The Task Force moved this requirement from the 'Evaluating the Sufficiency and Appropriateness of Audit Evidence Obtained' section as it was of the view that it is better placed right after the communication section – previously was paragraph 42.
Related Parties	
Paragraph 41B	The changes to the requirement are discussed in Agenda Item 2 , Section I-D.
Going Concern	
Paragraph 41C	The changes to the requirement are discussed in Agenda Item 2 , Section I-D.
Subsequent Events	
Paragraphs 41D–41E	The changes to the requirements and application material are discussed in Agenda Item 2 , Section I-D.
Evaluating the Sufficiency and Appropriateness of Audit Evidence Obtained	
Paragraph 42	<i>Requirement</i> - The Task Force moved the requirement to the Communication section – see paragraph 41A.
Paragraph 44	<i>Requirement</i> - Deleted the reference to consolidation process because the evaluation of whether sufficient appropriate audit evidence has been obtained is based on all audit procedures performed, including those relating to the consolidation process.

	<i>Application Material</i> - Added paragraph A61C to explain that the evaluation required by paragraph 44 assists the engagement team in determining whether the overall group audit strategy and group audit plan developed to respond to the assessed risks of material misstatement of the group financial statements continues to be appropriate. As discussed with the IAASB at the September 2019 meeting, the intent is for the auditor to evaluate whether the application of the risk-based approach has had the intended result, i.e., whether sufficient appropriate audit evidence has been obtained in response to the assessed risks of material misstatement at the group level. - As discussed with the IAASB in September 2019, paragraph A61C notes that the requirement in paragraph 18 of ISA 330⁷ also may be helpful for purposes of this evaluation.
Paragraph 44A	<i>Requirement</i> - Moved from paragraph 43 of extant ISA 600, with the content unchanged. The Task Force view is that the placement is appropriate as paragraph 44A relates to further actions when the group engagement team concludes, in the context of the overall evaluation of sufficiency and appropriateness of audit evidence obtained, that the work of the component auditor is insufficient.
Auditor's Report	
Paragraph 45A	<i>Requirement</i> - Moved from the last two sentences of paragraph 11 of extant ISA 600, with the content unchanged. <i>Application Material</i> - The application material in paragraphs A8 and A9 that supports paragraph 11 in extant ISA 600 has been moved to become paragraphs A63A and A63B, with the content unchanged.

⁷ ISA 330, *The Auditor's Responses to Assessed Risks*

Communication with Group Management and Those Charged with Governance of the Group	
Paragraph 49	<i>Requirement</i> - Deleted subpart (a) of the requirement because the Task Force view is that this would be part of the communication of an overview of the planned scope and timing of the audit as required by paragraph 15 of ISA 260 (Revised). - Revised paragraph 49(b) [49(c) in extant ISA 600] to require communication with those charged with governance about how the group engagement team addressed any concern about the quality of a component auditor's work, to clarify that the communication is not just noting that such a concern has arisen. - Revised paragraph 49(d) [49(e) in extant ISA 600] to require communication about fraud or suspected fraud involving employees who have significant roles in internal control. The revised standard no longer refers to group-wide controls and, in any event, the Task Force believes it is appropriate to inform those charged with governance of the group about fraud or suspected fraud involving an employee that has a significant role in internal control from the perspective of the group financial statements.
Documentation	
Paragraph 50	<i>Requirement</i> - As discussed with the IAASB in June 2019 (see paragraphs 71-72 of Agenda Item 6 for that meeting), the Task Force considered issues identified in the ITC and highlighted by respondents to the ITC with respect to documentation. Based on its further discussions, the Task Force has added or revised the documentation requirements as follows: • Added a new requirement (paragraph 50(a)) to document matters related to access to people or information, and how those matters were addressed. • Deleted the requirement relating to an analysis of components and the type of work to be performed on components (paragraph 50(a) in extant ISA 600). The Task Force notes that the revised standard no longer has a requirement to identify significant components, and that information about the work to be performed on component financial information would otherwise be documented as part of the overall audit

	strategy and audit plan in accordance with ISA 300.⁸ • Revised the requirement relating to documentation of materiality to be consistent with the changes made to the materiality section of the revised standard. • Revised the requirement relating to documentation of the nature, timing and extent of involvement in the work performed by component auditors to focus on the group engagement team's direction, supervision and review of component auditors, consistent with other changes throughout the revised standard. • Added a requirement for documentation of the group engagement team's evaluation of, and response to, findings of the component auditors with respect to matters that could have a material effect on the group financial statements (see new paragraph 50(e)). <i>Application Material</i> - Paragraph A67: This paragraph was added to explain that firm policies or procedures, or resources provided by the firm or a network, may assist the group engagement team in documenting the direction, supervision and review of component auditors. - Paragraph A67A further notes that this may be documented as part of the overall audit strategy and audit plan in accordance with ISA 300.
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⁸ ISA 300, *Planning an Audit of Financial Statements*